

Navkar Corporation Ltd

Container Freight Stations, Inland Container Depots & rail logistics near JNPT / Nhava Sheva · BSE 539332 · NSE NAVKARCORP · now ~70% owned by JSW Infrastructure

1 Snapshot

Navkar runs the plumbing of India's container trade. It owns **Container Freight Stations (CFS)** — yards next to the JNPT / Nhava Sheva port near Mumbai where import-export (EXIM) containers are stuffed, stored, cleared through customs and moved — plus an **Inland Container Depot (ICD)** at Morbi in Gujarat, rail-linked "Gati Shakti" cargo terminals, and a fleet of container/bulk rail rakes. It earns fees for handling, storing and rail-hauling cargo. In June 2024 **JSW Infrastructure bought a ~70% controlling stake** (consolidated from 11 Oct 2024); Navkar is now the anchor of JSW's pan-India logistics push.

₹1,536 cr Market cap — a small-cap. Trades at ₹102 vs book value ₹130, i.e. ~0.8x book (below net worth).	₹687 cr FY26 revenue — total sales, up ~41% from ₹487 cr in FY25 as volumes and utilisation recovered.
₹30 cr FY26 net profit — a swing from a ₹45 cr loss in FY25; the business is back in the black.	17% FY26 operating margin (profit before interest/tax/depreciation ÷ sales) — up from just 2% in FY25.
3.1% / 1.6% Return on capital / equity (FY26) — still low; the turnaround in profit has not yet lifted returns on the large asset base.	38x Price-to-earnings — richly valued for the low current returns; the price bakes in the expected ramp-up.

2 Concall coverage

Read chronologically, oldest to newest. **Important structural point:** since the JSW takeover, Navkar **no longer holds its own standalone earnings call**. Its results are presented as the "Navkar / logistics" segment inside **JSW Infrastructure's** quarterly calls, and JSW's transcript is posted on Navkar's investor page. So from Q3 FY25 onward the "management" speaking is JSW's (Rinkesh Roy, JMD & CEO; Nagarajan J / Lalit Singhvi, CFO), not Navkar's old team.

Quarter	Date	Whose call	Read?
Q2 FY24	06 Nov 2023	Navkar standalone (old mgmt: Arun Sharma / Prasoon Singh)	Yes
Q3 FY25	28 Jan 2025	First joint JSW Infra + Navkar call (Rinkesh Roy's debut)	Yes
Q1 FY26	22 Jul 2025	JSW Infra (Navkar as segment)	Yes
Q2 FY26	16 Oct 2025	JSW Infra (Navkar as segment)	Yes
Q3 FY26	16 Jan 2026	JSW Infra (Navkar as segment)	Yes
Q4 FY26	08 May 2026	JSW Infra (Navkar as segment) — latest full transcript	Yes
Q1 FY27	21 Jul 2026	JSW Infra (Navkar as segment)	Results + call summary (transcript not yet published)

Spans ~2.5 years across a change of ownership. Navkar's own older transcripts (FY17–FY24) sit on a site with an invalid security certificate; the pre-JSW picture here is taken from the Nov 2023 standalone call. The Q1 FY27 call (21 Jul 2026) was held three days before this report — only the audio and results were public, so its highlights come from the results filing and press coverage, not the transcript.

★ Latest highlights — Q1 FY27 (quarter ended Jun 2026, call 21 Jul 2026)

- **Best-ever quarter for Navkar.** Revenue **₹191 cr, up 38%** year-on-year — the highest quarterly sales in the company's history, driven by CFS and ICD volumes.
- **Profit up ~5x.** Net profit **₹12.3 cr vs ₹2.4 cr** a year ago (+402%); operating profit (EBITDA) **₹33 cr, up 62%**, with margin widening to **17.4% from 14.8%** — a plain sign of operating leverage as fixed assets fill up.
- **Part of a bigger machine.** Within parent JSW Infrastructure, the whole logistics segment (Navkar + rail rakes) did revenue ~₹237 cr and EBITDA ₹73 cr (a 3.6x jump), margin 30.6% — showing how the acquired rail rakes are supercharging the platform Navkar anchors.
- **Tone: confident.** Management framed FY27 as a scale-up year for logistics and reiterated the medium-term targets. No profit warning; the recovery that began in FY26 has carried straight into FY27.

Business mix & capacity — quick facts

EXIM vs domestic: Navkar serves both export-import container trade (via its CFS at Nhava Sheva) and domestic rail cargo (via the Morbi ICD and rail terminals). Management does not give a clean revenue split, but volume-wise both are growing, with **domestic the faster leg** — in Q4 FY26 domestic cargo rose 56% to 427,000 tonnes while EXIM rose 14% to ~86,000 containers (TEUs). Plainly: the recovery is broad-based, and the rail-fed domestic side is scaling quickest.

Capacity utilisation: ran at **~60% in Q4 FY26**, up from 56% for full-year FY26 and just 44% in FY25. Plainly: roughly a third of the asset base is still idle, so profit can keep rising as volumes fill it — the single biggest reason margins are climbing.

★ 3. Earning-trigger thesis

The trigger is the **JSW-led turnaround of Navkar into the anchor of a pan-India logistics network**. Under its old owners Navkar was a sub-scale, loss-making CFS/ICD operator (it even sold its Vapi "Tumb" ICD to Adani for ₹835 cr in 2022 during the lean years). Since taking control, JSW has (a) pushed **capacity utilisation from 44% to 60%+**, driving operating leverage; (b) folded in **rail rakes** (fleet up from 17 to 42, another 40 ordered, target ~250) under Indian Railways' GPWIS/LSFTO schemes; (c) added low-capital **Gati Shakti terminals** built on leased railway land (e.g. Arakkonam, live Apr 2026); and (d) begun feeding group and third-party cargo through the network. The result: Navkar's operating profit went from **₹8 cr in FY25 to ₹118 cr in FY26 — a ~14x jump** — and management guides ₹160 cr for FY27 within a ₹400 cr (FY27) → ₹700 cr (FY28) logistics-segment target, en route to JSW's ₹8,000 cr logistics revenue ambition by FY30.

Trigger	What management said	Evidence so far	Horizon	Strength
Utilisation ramp / operating leverage	Fill spare CFS/ICD capacity; drive margin up as volumes rise	Utilisation 44%→56%→60%; EBITDA margin 2%→17%; profit turned positive every quarter of FY26	Playing out now	Strong visible, delivered
Rail rakes fleet	Scale from 17 → ~250 rakes under GPWIS/LSFTO rail schemes	25 group rakes acquired & integrated (Feb 2026), fleet at 42, +40 ordered Apr 2026; rakes added ₹25 cr EBITDA fast	2–3 years	Strong on track, quick payback
Gati Shakti terminals (asset-light)	15–20+ rail-land terminals at low capex, high returns	Arakkonam terminal commissioned, live Apr 2026; more in pipeline	Medium term (FY27–30)	Moderate early, but concept proven
Group + network cargo	Leverage JSW group cargo & pan-India network to feed Navkar	Domestic volumes +45–56% YoY; part of ₹8,000 cr FY30 logistics plan	Long term (to FY30)	Moderate directional,

				unproven at scale
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4 Management consistency scorecard

This spans **two very different management eras**, so read it in two halves.

Period	What was promised / said	What actually happened	Verdict
Q2 FY24 (old mgmt)	Revenue & profit to "improve over next few quarters" as Morbi ICD matures	Instead FY24 and FY25 both slid into losses; the recovery came only after JSW arrived	Missed
Pre-2024 (old mgmt)	Build out ICD/CFS capacity for growth	Heavy capex, weak returns; sold Vapi "Tumb" ICD to Adani (2022) to cut debt — story kept shrinking	Dropped
Q3 FY25 (JSW debut)	Turn Navkar into logistics anchor; utilisation up; scale rakes & terminals; ₹8,000 cr logistics by FY30	Utilisation and profit rose immediately; consolidated Navkar Oct 2024	Delivered
Q1–Q2 FY26	FY26 logistics ~₹100 cr EBITDA; 10% volume growth; turnaround to profit	EXIM +20–31%, domestic +11–46%; profit positive each quarter	Delivered
Q3–Q4 FY26	Acquire 25 rakes; commission Gati Shakti terminal; ₹118 cr FY26 EBITDA; guide ₹160 cr FY27	Rakes acquired & integrated; Arakkonam live; FY26 EBITDA ₹118 cr delivered	Delivered
Q1 FY27	Carry FY26 momentum into a scale-up year	Revenue +38%, profit +402%, margin up — best quarter yet	Delivered

Narrative drift: The story broke cleanly in two. Under the old owners the narrative kept *shrinking* — capex overhang, asset sales, guidance that failed to arrive, and two loss years. Since Oct 2024 JSW's management has set a clear, consistent story (utilisation → rakes → terminals → network) and, importantly, **has done exactly what it said, quarter after quarter**. Tone shifted from cautious/defensive (old) to confident and target-driven (new). The one caveat: this strong record is only about **six quarters long**.

5 Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, currently-live driver: JSW is turning idle capacity, a growing rake fleet and low-capex rail terminals into real profit, and the numbers prove it (operating profit up ~14x in one year, best-ever quarter in Q1 FY27, guidance being met). The main watch-items are that returns on capital are still low (ROCE ~3%) and the stock already trades at ~38x earnings and near book value — so the operational trigger is strong, but a lot of the future is already in the price.

Management consistent? → YES (scoped to the JSW era; short track record)

Judged on the people running it **today**, consistency is clearly Yes: since taking over, JSW's management has said what it would do and then delivered it every single quarter — utilisation up, rakes acquired on schedule, terminals commissioned, EBITDA guidance hit. The honest caveats: (1) the old management's record over most of the lookback window was poor — repeated misses, asset sales, two loss years; and (2) the good run under JSW is still only ~six quarters. So the confidence rests on a short, strong, current record rather than a long one.

Sources: Screener.in financial snapshot; JSW Infrastructure earnings-call transcripts (Q3 FY25 28 Jan 2025, Q1 FY26 22 Jul 2025, Q2 FY26 16 Oct 2025, Q3 FY26 16 Jan 2026, Q4 FY26 08 May 2026) and Navkar Corporation standalone call (Q2 FY24, 06 Nov 2023) from Navkar's investor-relations page; Q1 FY27 results filing and press coverage (call 21 Jul 2026, transcript pending). **This is not investment advice. Do your own due diligence.**